Equity Research Report

TATA Consultancy Services Limited.

FY2025-26 Q3 Report

March 2026



TATA CONSULTANCY SERVICES LIMITED.

Equity Research Report

*Academic Research Report- Not a Recommendation

By Ashutosh Dash

CMP: ₹ 2,613 (on 2nd Mar 2026)

Target Price: ₹3,600 - ₹3,800

Potential Return (%): XXX

Recommendation: XXX

Stock Data

Sector: Information Technology

Face Value (₹): 1

Total MCap (₹ Cr): 9,45,587

52-Week High: ₹ 3,710.00

52-Week Low : ₹ 2,561.30

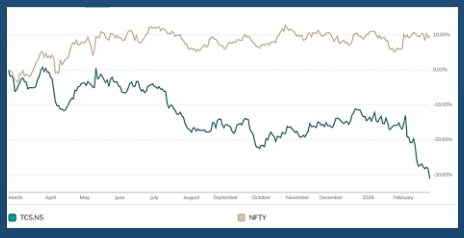
BSE Code/NSE Symbol: 532540/TCS

Bloomberg : TCS IN

Shareholding Pattern(%)

(%)	Dec 25	Sept 25	Jun 25
Promotor	71.77	71.77	71.77
DII	12.81	12.64	11.95
FII	10.37	10.33	11.48
Others	5.04	5.27	4.83

TCS vs NIFTY 50



About the Company

Tata Consultancy Services Ltd. (TCS), established in 1968 and headquartered in Mumbai, is India's largest IT services company and a global leader in digital transformation and consulting services. A part of the Tata Group, TCS operates across over 55 countries, delivering services in IT consulting, cloud transformation, AI-led engineering, cybersecurity, enterprise solutions, and business process services.

The company follows a diversified revenue model across geographies and verticals, with North America contributing the largest share, followed by Europe and emerging markets. Industry exposure remains well diversified, led by BFSI, retail and consumer business, manufacturing, and life sciences.

TCS operates an asset-light, high-return model driven by scale advantages, deep client relationships, and execution excellence. The company consistently maintains industry-leading profitability and return ratios, supported by strong free cash flow generation and a net-cash balance sheet. Broker models estimate RoE in the 50–60% range through FY28E, reflecting its capital-efficient structure. In recent years, TCS has strategically pivoted toward AI-led services and platform transformation. Annualised AI-led revenue has already crossed USD 1.8 billion, highlighting the company's transition from pilot deployments to scaled enterprise AI adoption.

Key Highlights of FY26-Q3 Results

➢ TCS delivered modest constant currency growth in Q3FY26, reflecting a still-muted discretionary demand environment. Sequential growth remained positive but subdued, reinforcing the view that the recovery in global IT spending is gradual rather than cyclical.

➢ Operating margins remained resilient at ~25% despite ongoing macro uncertainty, demonstrating the structural strength of TCS's delivery model. The ability to protect margins even in a low-growth environment supports the base-case assumption of stable profitability in forward estimates.

➢ Deal momentum remained healthy, with strong total contract value (TCV) wins indicating sustained client engagement and multi-year revenue visibility. However, conversion cycles remain elongated, supporting a conservative near-term growth outlook.

➢ AI-led services continue to scale meaningfully, but monetisation remains staggered rather than explosive. This validates a gradual growth acceleration thesis rather than an immediate re-rating driven by AI optimism.

➢ Management commentary pointed to improving client sentiment but uneven recovery across verticals and geographies. This aligns with a base-case view of moderate growth with selective tailwinds rather than a sharp demand rebound

SWOT Analysis of TATA Consultancy Services (TCS) Limited

Strengths

- Industry-leading margins and return ratios driven by scale and execution efficiency
- Diversified vertical and geographic exposure reducing cyclicality risk
- Strong deal pipeline with consistent mega-deal wins
- Net-cash balance sheet and high free cash flow generation
- Leadership in enterprise AI and digital transformation

Weaknesses

- Slower growth compared to mid-tier IT peers during upcycles
- High exposure to BFSI and developed markets
- Premium valuation multiples relative to growth profile

Opportunities

- Enterprise AI monetisation and platform-led transformation deals
- Margin expansion via automation and GenAI-led productivity
- Large outsourcing cycles amid global cost optimisation
- Increased wallet share from top clients

Threats

- Prolonged discretionary IT spending slowdown
- Pricing pressure from global hyperscalers and consulting firms
- Currency volatility affecting margins
- Talent costs during industry upcycles

Porter's 5 Force Analysis

- *Competitive Rivalry* — **High**
  Intense competition from global IT majors (Accenture, Infosys, Cognizant) and niche digital players.
- *Bargaining Power of Clients* — **Moderate to High**
  Large enterprises demand pricing efficiency and outcome-based contracts.
- *Bargaining Power of Suppliers (Talent)* — **Moderate**
  Human capital is the primary input; wage inflation cycles affect margins.
- *Threat of New Entrants* — **Low**
  High entry barriers due to scale, relationships, and delivery capabilities.
- *Threat of Substitutes* — **Moderate**
  Automation, SaaS platforms, and AI tools could displace low-end services.

EBIT Stability and Profitability Outlook

The profitability outlook for Tata Consultancy Services (TCS) remains structurally robust, underpinned by operating margins that have demonstrated significant resilience across multiple economic cycles. Projections assume a steady upward trend in EBIT margins, gradually gravitating toward the 27.0%–28.0% band over the FY26–FY28E period. This trajectory is expected to be supported by realized operating leverage, stemming from the transition toward AI-led delivery, enhanced automation, and the tapering of broad-based wage pressures.

The current margin assumptions remain moderately conservative when compared to more aggressive brokerage scenarios that factor in rapid, step-change expansion. While industry leadership has emphasized the transformative potential of productivity gains through AI-led development, a staggered monetization curve is anticipated. Consequently, margin expansion is projected to be gradual and execution-led rather than driven by immediate, transformative shifts in the near term.

Key Drivers Supporting the Projected EBIT Trajectory:

- *Structural Cost Efficiencies*: Ongoing integration of automation and AI-assisted delivery frameworks to optimize the cost-to-serve.
- *Optimized Resource Mix*: Strategic focus on improving the offshore-onshore mix and driving higher employee utilization levels.
- *Employee Cost Stabilization*: Anticipated moderation in talent acquisition costs and a reduction in employee cost inflation.
- *Pricing Discipline*: Maintenance of stable pricing frameworks and rigorous discipline during large-deal negotiations to prevent margin dilution.

TCS's capital-efficient, asset-light model and its formidable net-cash balance sheet continue to ensure superior earnings quality. This financial discipline ensures that EBIT stability translates efficiently into bottom-line growth. The absence of leverage-driven volatility further supports high earnings visibility and predictable long-term compounding for shareholders.

Strategic Conclusion Overall, the margin outlook reflects a balanced perspective—acknowledging structural productivity tailwinds from scaled AI implementations while avoiding aggressive near-term assumptions. The company is well-positioned to maintain its industry-leading margin profile while continuing to invest in the strategic capabilities required to secure future growth.

Geography Wise Revenue

Revenue (%)	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26	Q3FY26
North America	49.5	47.6	47.7	48.2	48.7	48.8	48.5
UK	16.9	17	16.6	16.8	18	17.5	16.9
Continental Europe	14.4	14.6	13.9	14.3	15	15.3	15.6
India	7.5	8.9	9.8	8.4	5.8	5.8	6.1
Asia Pacific	7.8	8	7.8	8.1	8.4	8.3	8.3
MEA	2	2.1	2.3	2.4	2.2	2.4	2.6
Latin America	1.9	1.8	1.9	1.8	1.9	1.9	2

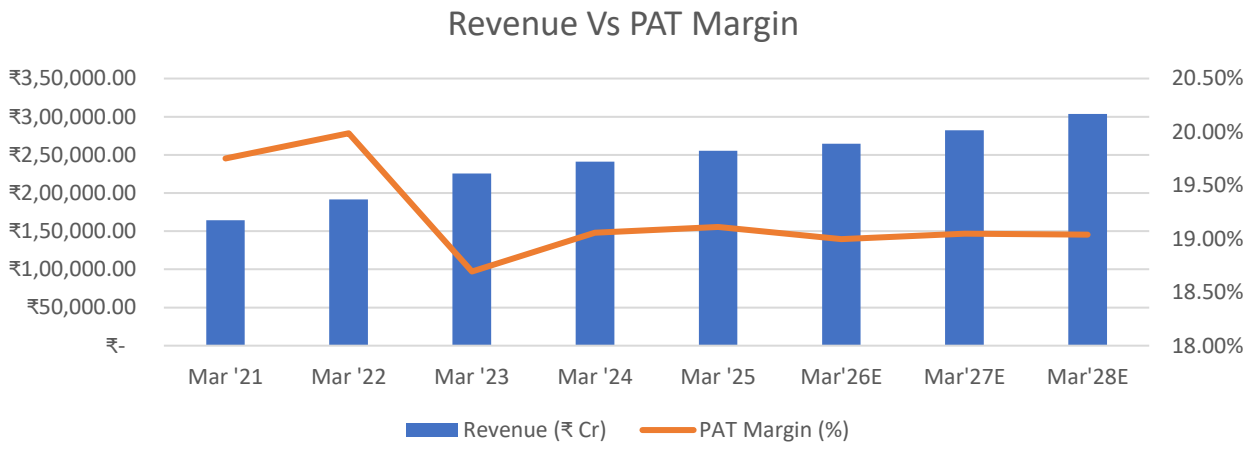
Vertical Wise Revenue

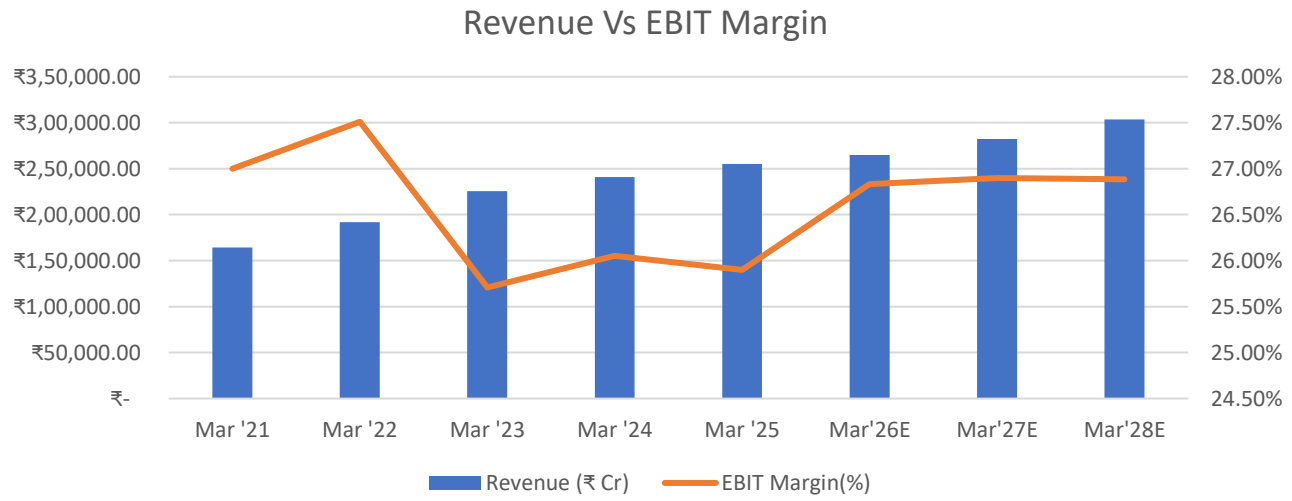
Revenue (%)	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26	Q3FY26
BFSI	30.9	30.8	30.5	31.2	32	32.2	31.9
Consumer Business	15.4	15.1	15.3	15.3	15.6	15.3	15.4
Life Sciences & Healthcare	11	10.4	10.1	10.1	10.2	10.5	10.5
Technology & Services	8.1	8	8	8.1	8.4	8.5	8.4
Manufacturing	8.8	8.6	8.4	8.4	8.7	8.8	8.8
Communication & Media	6.2	5.9	5.8	5.8	5.8	5.9	5.9
Energy, Resources and Utilities	5.6	5.7	5.6	5.7	5.9	5.9	6
Regional Markets & Others	14	15.5	16.3	15.4	13.4	12.9	13.1

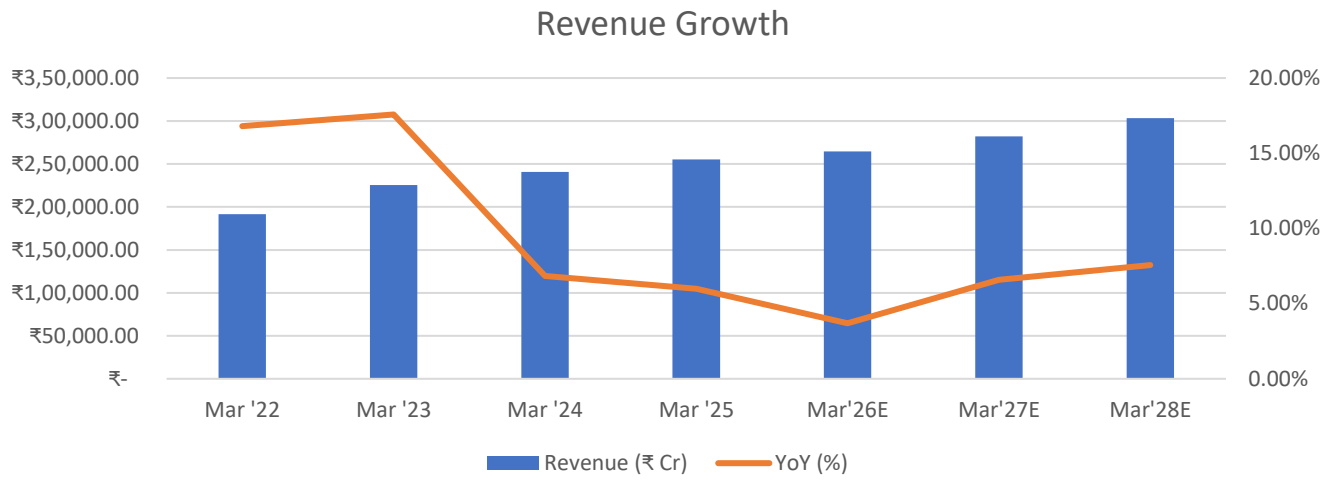
Revenue Buckets

Client Buckets	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26	Q3FY26
$1 Mn+ Clients	1,310	1,307	1,309	1,332	1,336	1,360	1,383
$5 Mn+ Clients	697	710	722	723	714	707	721
$10 Mn+ Clients	486	491	497	493	495	498	497
$20 Mn+ Clients	300	298	294	298	300	302	310
$50 Mn+ Clients	140	136	134	130	131	136	136
$100 Mn+ Clients	63	66	64	64	62	60	62

Story By Charts







Outlook and Valuation

The medium-term outlook for TCS is characterized by a commitment to steady execution and a fortified structural position within the global IT services landscape, rather than a reliance on immediate cyclical acceleration. While deal pipelines remain robust and AI-led opportunities continue to gain strategic traction, the conversion of these tailwinds into reported revenue growth is expected to remain gradual.

Internal projections anticipate mid-single-digit revenue growth over the medium term, reflecting a continued posture of macroeconomic caution and elongated discretionary spending cycles. This outlook remains slightly more conservative than broader institutional estimates that may factor in a sharper demand recovery and accelerated AI monetization.

However, earnings growth is projected to outpace revenue expansion, driven by rigorous operating efficiencies and strict capital discipline. The maintenance of stable margins, coupled with strong free cash flow conversion, supports a high-quality earnings profile and the sustainment of industry-leading return ratios.

From a valuation standpoint, TCS continues to be positioned as a premium-quality compounder. The company's formidable balance sheet, consistent history of capital returns, and resilient margin profile justify a premium multiple relative to the broader sector. Nevertheless, the current macroeconomic backdrop and moderate visibility into near-term growth warrant a balanced valuation framework rather than an aggressive re-rating thesis. Ultimately, the stock appears positioned as a steady compounding play underpinned by earnings durability and capital efficiency, rather than a high-beta growth opportunity.

Financials and Valuations

Income Statement

IN INR CR	MAR '24	MAR '25	MAR'26E	MAR'27E	MAR'28E
INCOME					
NET SALES	₹ 2,40,893.00	₹ 2,55,324.00	₹ 2,64,751.74	₹ 2,82,155.46	₹ 3,03,474.29
CHANGE %	6.85%	5.99%	3.69%	6.57%	7.56%
OTHER INCOME	₹ 3,451.00	₹ 3,962.00	₹ 4,236.03	₹ 4,514.49	₹ 4,855.59
TOTAL INCOME	**₹ 2,44,344.00**	**₹ 2,59,286.00**	**₹ 2,68,987.77**	**₹ 2,86,669.95**	**₹ 3,08,329.88**
EXPENDITURE					
EMPLOYEE COST	₹ 1,40,131.00	₹ 1,45,788.00	₹ 1,50,633.15	₹ 1,59,101.82	₹ 1,69,581.43
OTHER MANUFACTURING EXPENSES	₹ 3,702.00	₹ 2,074.29	₹ 2,555.38	₹ 2,522.70	₹ 2,466.64
MISCELLANEOUS EXPENSES	₹ 32,764.00	₹ 42,129.00	₹ 39,003.23	₹ 43,000.49	₹ 47,791.13
TOTAL EXPENSES	₹ 1,76,597.00	₹ 1,87,917.00	₹ 1,92,191.76	₹ 2,04,625.01	₹ 2,19,839.20
OPERATING PROFIT	**₹ 64,296.00**	**₹ 67,407.00**	**₹ 72,559.98**	**₹ 77,530.45**	**₹ 83,635.09**
EBITDA	**₹ 67,747.00**	**₹ 71,369.00**	**₹ 76,796.01**	**₹ 82,044.94**	**₹ 88,490.68**
% OF NET SALES	28.12%	27.95%	29.01%	29.08%	29.16%
DEPRECIATION	₹ 4,985.00	₹ 5,242.00	₹ 5,759.70	₹ 6,153.37	₹ 6,902.27
EBIT	**₹ 62,762.00**	**₹ 66,127.00**	**₹ 71,036.31**	**₹ 75,891.57**	**₹ 81,588.40**
% OF NET SALES	26.05%	25.90%	26.83%	26.90%	26.88%
INTEREST	₹ 778.00	₹ 796.00	₹ 3,523.74	₹ 3,755.38	₹ 4,039.12
PROFIT BEFORE TAX	₹ 61,984.00	₹ 65,331.00	₹ 67,512.57	₹ 72,136.19	₹ 77,549.28
TAX	₹ 15,898.00	₹ 16,534.00	₹ 17,215.70	₹ 18,394.73	₹ 19,775.07
TAX %	25.65%	25.31%	25.50%	25.50%	25.50%
REPORTED NET PROFIT	**₹ 45,908.00**	**₹ 48,797.00**	**₹ 50,296.86**	**₹ 53,741.46**	**₹ 57,774.21**
PAT MARGIN(%)	19.06%	19.11%	19.00%	19.05%	19.04%
CAGR %	8.92%	6.29%	3.07%	6.85%	7.50%

Cashflow Statement

CONSOLIDATED CASH FLOW (IN INR CR)	MAR '24	MAR '25	MAR '26E	MAR '27E	MAR '28E
NET PROFIT BEFORE TAX	₹ 61,984.00	₹ 65,331.00	₹ 67,512.57	₹ 72,136.19	₹ 77,549.28
NET CASH FROM OPERATING ACTIVITIES	₹ 54,171.44	₹ 49,500.00	₹ 59,350.30	₹ 63,414.93	₹ 68,173.57
NET CASH FROM INVESTING ACTIVITIES	₹ -3,000.00	₹ -4,000.00	₹ -4,500.00	₹ -4,500.00	₹ -4,500.00
NET CASH FROM FINANCING ACTIVITIES	₹ -41,317.20	₹ -43,917.30	₹ -45,267.18	₹ -48,367.32	₹ -51,996.79
NET CHANGE IN CASH AND CASH EQUIVALENTS	₹ 9,854.24	₹ 1,582.70	₹ 9,583.12	₹ 10,547.61	₹ 11,676.78
OPENING CASH & CASH EQUIVALENTS	₹ 74,000.00	₹ 83,854.24	₹ 85,436.94	₹ 95,020.06	₹ 1,05,567.67
CLOSING CASH & CASH EQUIVALENTS	₹ 83,854.24	₹ 85,436.94	₹ 95,020.06	₹ 1,05,567.67	₹ 1,17,244.45

Balance Sheet

CONSOLIDATED BALANCE SHEET					
IN INR CR.	Mar '24	Mar '25	Mar '26E	Mar '27E	Mar '28E
SOURCES OF FUNDS					
TOTAL SHARE CAPITAL	₹ 362.00	₹ 362.00	₹ 362.00	₹ 362.00	₹ 362.00
EQUITY SHARE CAPITAL	₹ 362.00	₹ 362.00	₹ 362.00	₹ 362.00	₹ 362.00
RESERVES	₹ 90,127.00	₹ 94,394.00	₹ 99,423.69	₹ 1,04,797.83	₹ 1,10,575.25
NETWORTH	₹ 90,489.00	₹ 94,756.00	₹ 99,785.69	₹ 1,05,159.83	₹ 1,10,937.25
MINORITY INTEREST	₹ 830.00	₹ 1,015.00	₹ 1,656.69	₹ 2,431.59	₹ 2,866.70
TOTAL LIABILITIES	₹ 91,319.00	₹ 95,771.00	₹ 1,01,442.38	₹ 1,07,591.42	₹ 1,13,803.95
APPLICATION OF FUNDS					
NET BLOCK	₹ 19,604.00	₹ 24,599.00	₹ 23,800.00	₹ 22,500.00	₹ 21,000.00
CAPITAL WORK IN PROGRESS	₹ 1,564.00	₹ -	₹ 1,200.00	₹ 1,300.00	₹ 1,400.00
INVESTMENTS	₹ 31,762.00	₹ 30,964.00	₹ 25,000.00	₹ 23,000.00	₹ 24,000.00
INVENTORIES	₹ 28.00	₹ 21.00	₹ 25.00	₹ 25.00	₹ 25.00
SUNDRY DEBTORS	₹ 53,577.00	₹ 59,046.00	₹ 60,817.38	₹ 64,466.42	₹ 68,979.07
CASH AND BANK BALANCE	₹ 13,286.00	₹ 15,463.00	₹ 30,000.00	₹ 49,800.00	₹ 51,000.00
TOTAL CURRENT ASSETS	₹ 66,891.00	₹ 74,530.00	₹ 90,842.38	₹ 1,14,291.42	₹ 1,20,004.07
LOANS AND ADVANCES	₹ 26,628.00	₹ 29,536.00	₹ 30,000.00	₹ 17,000.00	19000
TOTAL CA, LOANS & ADVANCES	₹ 93,519.00	₹ 1,04,066.00	₹ 1,20,842.38	₹ 1,31,291.42	₹ 1,39,004.07
CURRENT LIABILITIES	₹ 54,990.00	₹ 63,678.00	₹ 68,000.00	₹ 69,000.00	70000
PROVISIONS	₹ 140.00	₹ 180.00	₹ 200.00	₹ 200.00	200
TOTAL CL & PROVISIONS	₹ 55,130.00	₹ 63,858.00	₹ 68,200.00	₹ 69,200.00	₹ 70,200.00
NET CURRENT ASSETS	₹ 38,389.00	₹ 40,208.00	₹ 52,642.38	₹ 62,091.42	₹ 68,804.07
TOTAL ASSETS	₹ 91,319.00	₹ 95,771.00	₹ 1,01,442.38	₹ 1,07,591.42	₹ 1,13,804.07

Key Ratios

	FY24	FY25	FY26E	FY27E	FY28E
BASIC RATIOS					
EPS (₹)	126.8	134.8	138.8	147.2	158.3
CASH EPS (₹)	140	148	152	162	174
BOOK VALUE (₹)	250	260	270	282	295
DPS (₹)	114	121	125	132	142
PAYOUT (%)	90	90	90	90	90
VALUATION RATIOS					
P/E (X)	20.6	19.4	18.8	17.8	16.5
CASH P/E (X)	18.7	17.6	17.1	16.1	15
EV/EBITDA (X)	16.8	15.8	15	14	13
EV/SALES (X)	4.1	3.9	3.7	3.5	3.2
PRICE/BOOK (X)	10.4	10	9.7	9.2	8.8
DIVIDEND YIELD (%)	4.3	4.6	4.8	5.1	5.4
PROFITABILITY RATIO					
PAT MARGIN (%)	19	19.1	19	19	19
EBIT MARGIN (%)	26	25.9	26.8	26.9	26.9
ROE (%)	50.7	51.5	52.5	53.5	54.5
ROCE (%)	43	44	45	47	49

FY26 Q3 Earning Call Highlights

- *Demand Environment Still Gradual*
  Management commentary pointed toward a divergence between improving qualitative sentiment and quantitative spend commitment. While pipeline building is healthy, the "wait-and-watch" approach by global enterprises has led to continued friction in deal closures. We maintain our thesis of a gradual demand trajectory, as the translation from pipeline to revenue is likely to be incremental rather than immediate.

- *Strong Deal Pipeline but Slower Conversion*
  Despite consistent large-deal wins in BFSI and Manufacturing, management signaled a measured pace for project initiations. This lack of immediate ramp-up velocity reinforces our thesis of moderate growth over the near term. We believe revenue visibility is high for the long term, but the timing of realization remains the primary variable in our model.

- *Margin Resilience Remains Structural*
  Despite persistent macroeconomic headwinds, operating margins remained stable, reflecting the company's strong execution capabilities. Management identified productivity enhancements, optimized utilization, and delivery efficiencies as the primary levers for margin protection. This reinforces our thesis of stable EBIT margins with a clear path toward gradual expansion, driven by structural operating leverage rather than transient cost-rationalization measures.

- *AI Transition Progressing, but Monetisation Phased*
  The scaling of AI across enterprise programs remains a key structural driver; however, management cautioned that revenue realisation will remain gradual. As enterprises move toward scaled deployment, we expect a steady uplift in operating margins through improved delivery efficiencies. We believe this supports a sustainable profitability narrative, although a significant growth re-rating remains contingent on broader discretionary spend recovery.

- *Geography and Vertical Commentary*
  Management commentary suggests a steady state in North America, contrasted by localized improvements across European markets. While the core BFSI segment provides a valuation floor and steady growth, the lack of a uniform recovery in discretionary verticals (Retail/Tech) suggests that enterprise spending remains non-linear. This validates our conservative stance, favoring companies with high exposure to defensive verticals.

- *Hiring and Cost Outlook*
  Management indicated a visible normalization in hiring intensity alongside a moderation in wage inflation, providing a favorable tailwind for margin stability. We expect profitability to be further augmented by structural efficiency gains, specifically through enhanced employee pyramid optimization and improved utilization levels.

- *Capital Allocation Discipline*
  TCS reiterated its commitment to returning surplus cash to shareholders, underpinned by its debt-free status and strong FCF generation. This remains consistent with our high-payout assumptions, reinforcing our confidence in the company's capital allocation framework.

Executive Summary

TCS delivered a resilient operational performance in Q3FY26, maintaining stability despite a cautious global macroeconomic backdrop and elongated discretionary spending cycles in developed markets. While revenue growth remained moderate, the company's diversified vertical exposure and robust deal pipeline continued to provide a significant buffer against sector-specific volatility. Profitability remained a key highlight, with the company sustaining its structurally superior, industry-leading EBIT margins in the mid-20% range. This performance was underpinned by an optimized offshore delivery model and disciplined cost management, reinforcing the thesis that TCS can effectively protect its bottom line even during subdued growth phases. Management commentary pointed toward a "U-shaped" recovery in client sentiment rather than a sharp demand inflection, with AI-led engagements scaling steadily as projects transition from experimental pilots to enterprise-wide implementations. This suggests a phased monetization trajectory, aligning with a base-case scenario of steady compounding rather than immediate cyclical acceleration. Looking ahead, we project a mid-single-digit revenue CAGR through FY28E, with earnings growth expected to modestly outpace the top line driven by operating leverage and disciplined capital allocation. Supported by superior free cash flow generation and a consistent shareholder return framework, TCS continues to be a premier safe-haven play characterized by high earnings durability and capital efficiency.

Disclaimer and Disclosure

Academic Research Project – Not an Investment Recommendation

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